



CASE STUDY

Restructuring the big three US car manufacturers

The economic crisis of 2008 caused the big three American car-making companies—General Motors (GM), Ford, and Chrysler—to rethink their corporate structures. Market share had fallen and the three companies needed to shed employees and find ways to cut production.

All three took similar action to reorganize the company hierarchy, removing some managerial roles from the mid-management level and installing more team leaders

at a lower level in the organization to create a flatter, less top-heavy company hierarchy.

- **Before restructuring** Thirty technicians reported to one production supervisor.
- **After restructuring** Seventy-five technicians now reported to one production supervisor, through 18 newly created team leader positions.

25%
the decline in the
levels of hierarchy
between division
heads and CEOs
in the US, from
1986 to 2003

Flat hierarchy

This looser model is more flexible and suitable for companies that foster creativity.

- **Only a few layers** so mid- and low-level management are merged
- **Large number of employees** reporting to each manager; close supervision not possible
- **More freedom for employees** to make their own decisions

